PUBLIC UTILITY LAW PROJECT OF NEW YORK, INC.

VIA ELECTRONIC MAIL

June 2, 2021

Hon. James Costello & Hon. Maureen Leary
Administrative Law Judges
NYS Department of Public Service
Three Empire State Plaza
Albany, NY 12223-1350

RE: CASE 19-G-0309 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of The Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service.

CASE 19-G-0310 – Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service.

STATEMENT OF NEUTRALITY BY
THE PUBLIC UTILITY LAW PROJECT OF NEW YORK
ON THE JOINT PROPOSAL

Dear Judges Costello and Leary:

Pursuant to your Ruling Revising the Procedural Schedule, issued May 24, 2021, in the above referenced proceedings, the Public Utility Law Project of New York, Inc. ("PULP") submits this statement of Neutrality on the Joint Proposal ("JP") filed on May 14, 2021. PULP neither supports nor opposes the JP and instead files this Statement of Neutrality.

I. Introduction

Since the Brooklyn Union Gas Company d/b/a National Grid NY ("KEDNY") and KeySpan Gas East Corp. d/b/a National Grid ("KEDLI"), (hereinafter referred to as the "Companies" or "KEDNY/KEDLI"), tariff filing on April 30, 2019, PULP has been a party in these cases. PULP has filed both direct and rebuttal testimony, appeared at public hearings

across the service territory, engaged in discovery, participated in the Evidentiary Hearing, and engaged in rigorous and lengthy negotiations leading to this proposed settlement.[1]

PULP's organizational mission requires that it advocate, educate, and litigate on behalf of rural and urban low-income and fixed-income utility consumers. In rate cases, PULP therefore begins by reviewing the proposed rate increases of a utility and the affect any increase would have on affordability for the low-income and fixed-income consumers in that utility's service territory. PULP examines collections procedures including the obtaining of liens, replevins, service terminations, and other collections activity, and PULP generally examines all proposals that would affect the revenue requirement in a manner that might harm the interests of vulnerable consumers, and any other proposals in PULP's opinion that could be contrary to the public interest.

In reviewing the Company's existing rates and rate structure, we have found an extraordinary increase in the negative impacts of the Company's high rates on the low-, moderate-, and fixed-income residents in its service territory, especially considering the COVID-19 health pandemic. In fact, the increases that will occur in rate years two (April 1, 2021, to March 31, 2022) and three (April 1, 2022, to March 1, 2023), along with numerous issues concerning embedded cost of service ("ECOS") methodology, Return on Equity ("ROE"), earnings sharing mechanisms, the "demand capacity surcharge mechanism,"[2] and various "earnings incentive mechanisms," when reviewed collectively could result in earnings substantially higher than those sought in the agreed upon revenue requirement, and do not comprise a JP that PULP can support.

However, there are aspects of the JP that specifically recognize key concerns we raised in our testimony – see below -- and in previous KEDNY/KEDLI rate cases, which we believe could significantly enhance consumer protections throughout the rate plan. As such, PULP is not opposing the JP, but instead, submits this Statement of Neutrality.

[1] Said settlement negotiations were conducted pursuant to the Public Service Commission's ("PSC") resolution and final Order in cases 90-M-0255 and 92-M-0138 ("Settlement Guidelines") and to applicable regulations.
[2] PULP is concerned that the demand capacity surcharge mechanism could lead to ballooning costs and harmful ratepayer impacts unanticipated in the JP and by ratepayers.

II. Specific Terms of the Joint Proposal

A. Customer Initiatives[3]

1. Arrears Resolution

With a rapidly growing number of KEDNY/KEDLI customers falling behind on their utility bills due to the COVID-19 health pandemic and economic downturn, the JP includes an agreement to address the arrears crisis if the Public Service Commission does not Order a resolution by mid-September 2021. This provision is the first of its kind in a joint proposal and a responsible and proactive plan that could serve as a model for any regulated energy utility operating in New York State. (JP at 120).

2. KEDLI File Match with Nassau and Suffolk Counties[4]

The JP specifically requires KEDLI to collaborate with the New York State Office of Temporary Disability Assistance ("OTDA") and Nassau and Suffolk Counties to investigate an expanded file-matching mechanism for its Energy Assistance Program ("EAP") customers. Increasing file-matching gives KEDLI the ability to find more eligible low-income utility customers that will benefit from EAP. PULP and AARP have collaborated in the past to try and push the Commissioners of the Nassau and Suffolk County DSS' to create a file matching process with KEDLI, to no avail. It is our hope that provision 11.2.4 of Section IV of the JP and the anticipated meeting arranged by KEDLI with OTDA, DPS, the County Commissioners, AARP, PULP and other stakeholders may finally resolve this unnecessarily harmful and protracted failure to sign up income-eligible Long Island ratepayers for HEAP and the low-income affordability program.

3. *Language Access*

The Joint Proposal requires KEDLI and KEDNY to deploy language access offerings sufficient to better serve its diverse customer base and ensure consumers are aware of the options and programs to help them.[5] This will be additionally important in the arrears resolution process so that consumers will be able to read and understand documents they must sign to enter into a process to eliminate arrears. PULP anticipates advocating for such language access in every

[3] This section of the Joint Proposal ("JP"), Section IV(11), includes certain initiatives proposed by PULP and AARP. We are pleased they are included, as these proposals strongly support the public interest.
[4] *See*, JP at pp. 118-119.
[5] *See*, JP at p. 120.

active rate case in 2021 and thereafter, so that ratepayers will be provided their right(s) to documents they can read and understand.

B. Earnings Sharing Mechanism and Superfund Site Cleanup

KEDNY and KEDLI have agreed to use 50% of their portion of shared earnings within the bands identified in Sections 4.3.2 and 4.3.3 of the JP, to reduce regulatory assets (i.e., deferred balances to be recovered from customers) related to Site Investigation and Remediation ("SIR").[6] This agreement, thereby, provides an important step towards the Companies sharing in superfund related costs, which can lower the financial impact on ratepayers and, in the opinion of PULP, effectuates the Commission's goals of case 11-M-0034.[7]

C. E-DPAs and Ending the Requirement for in-person negotiations

Prior to Year One of the COVID-19 pandemic and economic collapse, KEDNY required elderly, blind and disabled customers to travel to a customer service office (only 2 in Brooklyn, and 1 each in Staten Island and the Rockaways) between 8:15am and 5pm to negotiate an affordable deferred payment agreement ("DPA"). Section 11.1 of this JP requires the Company(ies) to continue allowing consumers to negotiate their DPAs, and particularly "minimum DPAs" over the phone, which was begun as a public health concession during the State's "shelter in place" requirements created by Executive Order 202 et seq. of 2020.

III. Conclusion

As explained herein, PULP neither opposes nor supports the JP, but rather is remaining neutral due to a belief that such a position is consistent with the balancing of equities in this settlement. On the one hand, KEDNY & KEDLI engaged with PULP and AARP and DPS in seeking solutions to several discrete issues of key importance to vulnerable ratepayers. On the other hand, there are certain other issues relating to rate increases, the sui generis movement of capital expenditures on infrastructure to a process that arguably cannot be opposed by parties and non-parties,[8] and certain other procedural decisions and matters that prevent PULP from

[6] *See*, JP at pp. 39-40.
[7] *See*, Case 11-M-0034, Proceeding on Motion of the Commission to Commence a Review and Evaluation of the Treatment of the State's Regulated Utilities' Site Investigation and Remediation Costs.
[8] *See* p. 47 of the JP. PULP believes the mechanism created therein may be an inappropriate delegation of the Commission's authority to a third-party, may almost certainly deprive large numbers of ratepayers and stakeholders of due process, and should be elided by the Commission in its order. However, in the interest of avoiding further rate compression PULP has chosen not to take any procedural or substantive action(s) that might have delayed achieving this JP and subsequent Order.

supporting the JP. Consequently, PULP is filing this Statement of Neutrality on the Joint Proposal.

Respectfully submitted,

/s/

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